NORTH AMERICAN®

D103NAC-CA

NORTH AMERICAN COMPANY FOR LIFE AND HEALTH INSURANCE

ACCELERATED DEATH BENEFIT ENDORSEMENT SUMMARY AND DISCLOSURE STATEMENT

When used in this disclosure, "Death Benefit" applies to a permanent life insurance policy; "Face Amount" applies to a term or whole life insurance policy.

There is no additional charge for the Accelerated Death Benefit Endorsement. However, there is an administrative fee required each time an Election is made.

The accelerated death benefits may provide benefits to pay for long-term care services but are NOT part of a long-term care or nursing home insurance policy and the amount these products pay may not be enough to cover your medical, nursing home or other bills. Accelerated Death Benefit Payments used to pay for long-term care services are subject to limits imposed by the federal government and any amounts received in excess of these limits are includible in taxable income. You may use the money you receive as an accelerated death benefit for any purpose.

If you already have long-term care insurance, Medicaid, or similar coverage, you should consider whether the accelerated death benefits are suitable for your needs. Receipt of accelerated death benefits MAY AFFECT YOUR ELIGIBILITY FOR MEDICAID, SUPPLEMENTAL SECURITY INCOME ("SSI"), OR OTHER GOVERNMENT BENEFITS OR ENTITLEMENTS. Contact the Medicaid Unit of your local Department of Public Welfare and the Social Security Administration Office for more information.

UNLIKE CONVENTIONAL LIFE INSURANCE PROCEEDS, AMOUNTS PAYABLE AS ACCELERATED DEATH BENEFITS COULD BE TAXABLE UNDER SOME CIRCUMSTANCES. WE RECOMMEND THAT YOU CONSULT YOUR PERSONAL TAX ADVISOR PRIOR TO ELECTING AN ACCELERATED DEATH BENEFIT UNDER THIS ENDORSEMENT TO ASSESS THE TAX TREATMENT IN YOUR INDIVIDUAL CIRCUMSTANCES. THE COMPANY SHALL ACT AS IT DETERMINES IS REQUIRED BY THE INTERNAL REVENUE CODE AND THE REGULATIONS IN REPORTING ANY AMOUNTS PROVIDED PURSUANT TO AN ELECTION UNDER THIS ENDORSEMENT.

PAYMENT OF ACCELERATED DEATH BENEFITS WILL REDUCE THE POLICY'S DEATH BENEFIT OR FACE AMOUNT, MONTHLY DEDUCTIONS OR PREMIUMS, NONFORFEITURE VALUES OR POLICY VALUES, WHICH INCLUDE, BUT ARE NOT LIMITED TO, THE ACCOUNT VALUE, NET CASH SURRENDER VALUE, AND POLICY LOAN VALUE WILL BE REDUCED IN PROPORTION TO THE AMOUNT OF THE DEATH BENEFIT OR FACE AMOUNT THAT IS ACCELERATED.

ACCELERATED DEATH BENEFITS ARE REDUCED BY A NUMBER OF FACTORS, INCLUDING BUT NOT LIMITED TO, THE IMPACT AN ILLNESS HAS ON THE INSURED'S FUTURE MORTALITY EXPECTATIONS AND IN THE CASE OF TERM OR WHOLE LIFE INSURANCE THE AMOUNT OF PREMIUM REMAINING UNTIL THE POLICY EXPIRES OR MATURES. THIS MAY RESULT IN A SMALL BENEFIT OR NO BENEFIT BEING PAID.

THE IMPACT OF ACCELERATED DEATH BENEFIT PAYMENTS

Upon instructions received by the owner of the Policy, the company will pay an Accelerated Death Benefit as described below, subject to the limitations and requirements described in the Accelerated Death Benefit Endorsement. Any assignee or Irrevocable Beneficiary must consent before we make an Accelerated Death Benefit Payment. The Lifetime Maximum Accelerated Death Benefit that we will accelerate is described in the Endorsement.

The Accelerated Death Benefit Payment is discounted. The discount we apply reflects the early payment of the Policy's Death Benefit or Face Amount and includes, among other things:
(1) A mortality adjustment using our determination of the future expected lifetime of the Insured;
(2) A discount reflecting the time value of money using the Accelerated Death Benefit Interest Rate; and
(3) In the case of term insurance, an offset for the uncollected premiums otherwise payable over the life of the Policy.

Agent Instructions

Provide the Proposed Owner a copy; submit one copy to the Administrative Office and keep a copy for your records.

The factors listed above may reduce the amount of the Accelerated Death Benefit payable. Chronic Illnesses often have little or no impact on the Insured's life expectancy, such that the application of the factor for mortality and reduced life expectancy could result in a small Accelerated Death Benefit Payment or no Accelerated Death Benefit Payment being paid even if a Qualifying Event has been established.

Proposed Insureds are subject to underwriting eligibility requirements to qualify for the Chronic Illness Accelerated Death Benefit. Only the Terminal Illness Accelerated Death Benefit is available without underwriting eligibility requirements.

The minimum and maximum Accelerated Death Benefit amounts for Chronic or Terminal Illness on the Election Date are described in the Endorsement.

Accelerated Death Benefit for Terminal Illness: You may elect to receive advancement of the Death Benefit or Face Amount when the Insured has a Terminal Illness while the Endorsement is in effect.

An Insured qualifies as being Terminally Ill if the Insured has been certified through a certification by a Licensed Health Care Practitioner (LHCP) that the Insured has been diagnosed with a medical condition that results in a drastically limited life span. A drastically limited life span is a life span of 24 months or less.

The Accelerated Benefit Payment will be determined upon your Election and will be paid in a lump sum.

We will waive the Monthly Deductions or Premiums following the Election of Accelerated Death Benefits for Terminal Illness. Upon Election, all Endorsements and Riders attached to the Policy will continue to be effective subject to the terms and conditions of each Endorsement or Rider.

After you receive Accelerated Death Benefits for Terminal Illness, you may elect to take withdrawals; increase or decrease the Specified Amount or Face Amount, change the Death Benefit Option; and obtain Policy Loans as described in the Policy.

Only one Election can be made for Terminal Illness.

If the Insured dies after you elect to receive Accelerated Death Benefits, but before any Accelerated Death Benefit Payment is made, the Election will be cancelled and the Death Benefit or Face Amount will be paid as described in the Policy.

Accelerated Death Benefit for Chronic Illness (if available): You may elect to receive advancement of the Death Benefit or Face Amount when the Insured is Chronically Ill while the Endorsement is in effect.

An Insured qualifies as being Chronically Ill if the Insured has been certified through a certification by a LHCP within the last 12 months as:

(a) Being unable to perform, for at least 90 days without Substantial Assistance from another person, at least two Activities of Daily Living; or
(b) Requiring Substantial Supervision by another person, to protect oneself from threats to health and safety due to Severe Cognitive Impairment.

Activities of Daily Living are bathing, continence, dressing, eating, toileting, or transferring.

Severe Cognitive Impairment means deterioration or loss of intellectual capacity that is measured by clinical evidence and standardized tests which reliably measure impairment in:

1. short-term or long-term memory;
2. orientation to people, places, or time;
3. deductive or abstract reasoning; or
4. judgment as it relates to safety awareness.

You can accelerate an amount less than the minimum Accelerated Death Benefit for Chronic Illness allowed if it is necessary to do so to comply with the Lifetime Maximum Accelerated Death Benefit limitation, or if you are making a Final Election.

A Final Election is available if the maximum Chronic Illness Accelerated Death Benefit at the time of Election is greater than the remaining Death Benefit or Face Amount in the Policy, minus the Residual Death Benefit. A Final Election occurs when you accelerate all of the Death Benefit or Face Amount in the Policy, minus the Residual Death Benefit.

The Residual Death Benefit only applies to benefits for Chronic Illness.

We will waive the Monthly Deductions or Premiums while a Chronic Illness Election is in effect if the Death Benefit or Face Amount immediately prior to the Initial Election Date does not exceed the Lifetime Maximum Accelerated Death Benefit If the Death Benefit or Face Amount immediately prior to the Initial Election Date exceeds the Lifetime Maximum Accelerated Death Benefit while an Election is in effect, the Monthly Deductions or Premiums will be multiplied by the specified ratio, as described in the Endorsement. Monthly Deductions or Premiums will stop being waived when an Election is no longer in effect.

While the Chronic Illness Election is in effect, you cannot take withdrawals; increase or decrease the Specified Amount or change the Death Benefit Option. After any Election, other than a Final Election, you may elect to obtain Policy Loans as described in the Policy.

After the Initial Election Date, no additional Endorsement and Riders may be added to the Policy. Upon any Election other than a Final Election, all Endorsements and Riders attached to the Policy will continue to be effective subject to the terms and conditions of each Endorsement or Rider. Upon a Final Election, all Endorsements and Riders, except the Accelerated Death Benefit Endorsement, the Guaranteed Insurability Rider, if any, or the Option to Purchase Additional Insurance Rider, if any, will terminate on the Final Election date.

The Chronic Illness Election Period begins on the Election Date of a Chronic Illness and ends immediately prior to the Monthly Anniversary or Monthly Policy Date, as applicable that occurs when the number of completed Policy Months as shown on the Policy Data Pages is completed.

If the Insured dies after you elect to receive Accelerated Death Benefits, but before the payment is made, the Election will be cancelled and the Death Benefit or Face Amount will be paid as described in the Policy. If a Final Election has occurred, the Residual Death Benefit will be paid to the Beneficiary in a lump sum upon due proof of death of the Insured.

[1] **Proposed Insureds are subject to underwriting eligibility requirements to qualify for the Chronic Illness Accelerated Death Benefit. Only the Terminal Illness Accelerated Death Benefit is available without underwriting eligibility requirements.**

This disclosure form is a summary only. We recommend that you consult Your Policy for further details.

I understand and acknowledge: (1) Receipt of such benefits may affect eligibility for public assistance programs and benefits may be taxable; (2) Payment of this benefit will reduce the Insured's death benefit; (3) There is no additional charge for this benefit; and (4) The agent provided the Accelerated Death Benefit Summary and Disclosure Statement with the application.

Signature of Proposed Owner One X	Date
Signature of Proposed Owner Two X	Date
Signature of Agent X	Date

For Conversions, please indicate new Policy #, if assigned: Policy Number

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Sample Illustration of the impact of Accelerated Death Benefits

	Terminal Illness	Chronic Illness
Accelerated Death Benefit	$375,000	$120,000
Lump Sum Accelerated Death Benefit Payment	$338,374	$82,498
Administrative Fee	$200	$200

Values Before Accelerated Death Benefit	Terminal Illness	Chronic Illness
Death Benefit/Face Amount	$500,000	$500,000
Death Benefit Proceeds	$480,000	$480,000
Account Value/Cash Value	$100,000	$100,000
Net Cash Surrender Value	$80,000	$80,000
Cost of Insurance or Premium	$300	$300
Outstanding Policy Debt	$20,000	$20,000
Residual Death Benefit:	N/A	$25,000

Values After Accelerated Death Benefit	Terminal Illness	Chronic Illness
Death Benefit/Face Amount	$125,000	$380,000
Death Benefit Proceeds	$120,000	$364,800
Account Value/Cash Value	$25,000	$76,000
Net Cash Surrender Value	$20,000	$60,800
Cost of Insurance or Premium	$0	$0
Outstanding Policy Debt	$5,000	$15,200
Residual Death Benefit	N/A	$25,000